MEFA

Unit - 1 ~~Em~~troduction to Economics

Economics is a complimentory subject & one of the oldest subject. Economics may be defined as the integration of economic theory with Business practice for the purpose of taking good decision and forward planning by management. ~~And Eco~~ In Economics we can understand the financial structure that is useful for taking good decision in future. The decision related with financial planning and Business policy.

Managerial Economics is that part of economics which is applied and decision making and it create a bridge between economic theory & practice. By this we can take All decisions with economic analysis.

According to W.W. hynes managerial economics is the spacial branch which is helpful for taking decisions through economic analysis.

At last we conclude that economics is that branch of knowladge in which theories of economic analysis are used for business management - problems & determination of business policy.

* Nature of Economics

(1) Macro in Nature -
(2) Micro in Nature
(3) theory of Form < Profit / loss / Distribution
(4) Prospective in Nature
(5) A co-ordination function.
(6) ~~This is~~ Decision making at managerial level
(7) It is a complimentory subject

Scope of Economic

(1) Demand Analysis and Demand Forecasting ~~forcasting~~.
(2) Production planning.
(3) Cost Analysis
(4) Pricing theory & practice.
(5) Decision theory under uncertainity.
(6) Sells promotion & sells stratagy.
(7) Economic Policies.

~~Dynamic~~ E

Detective Analysis & inductive Analysis.

* Inductive methods of economics - Inductive methods of economics is also known as experimental methods of economics. It is called ~~hystori~~ historyical method of analysis

According to marshal, inductive method moves from perticular to general. that means we have some spacific data and we concluded that in two final result In this we include some set of logics, future inquiries and some test.

In inductive method we include financial analysis problem through some experiments. Inductive method is very important for taking future decision and formulate business stratagy. Nowadays Inductive method become back bone of entire economic Analysis

Merits of Inductive method -

1. Based on some realistic foundation.
2. Bridge the gap between the theory & practice.
3. More focus of practical rather than theoritical aspects.

Demerits of Inductive method -

1. Bias of ~~interest~~. investegate.
2. It is a time consuming method.
3. This method some time include curraeption.
4. Deduction in theory.

* Deductive method of Economic :-

Deductire method is known as analytical method. This method is moves from general to perticular. In this method of analysis, some parameters are fixed and some another perameters are changed. This is also known as abstract analysis. This method is very important and easy ~~&~~ helpful for certain result.

Methodology ~~offer~~ ~~st.~~ of a subject refers to the logical process of thinking which is related with a final conclusion. It is a kind of relationship between economic value and human being. This method do not require any evidance to support because it is based on individual behaviour and universal truth. This method include three following stages

(i) Perception ~~&~~ selection of primises from with the conclusions are to be desired. And assumptions are made.

(ii) Deductive method based on some original contents.

(iii) At final step, we return to a real world that is reality of result.

Merits of Deductive Analysis -

(1) It is simple and clear

(2) It is having economic values / economical process.

(3) Result are accurate & reliable.

Demerits of Deductive Analysis -

(1) If data is wrong, we can get false result.

(2) It is based on unrealistic assumption.

(3) ~~Not~~ - useful for all.

(4) Require more compitency while solving the problems.

Assignment

1. What are the basic differences between deductive & inductive method of analysis?
2. Write a short note on static & dynamic Economic ~~anyti~~ analysis.

* Economic Problems

Economic Problems is very important concept of Economics. Economic Problems arise because human 'wants' are unlimited & endless. Human wants are endless but the resiources produce goods and services to setisfy human needs. There are many problems in economics while we calculating financial statement, Every society faces all types of economic problem. The main problem of economic is human being wants maximum setisfiction by the limited resources. Resultant we faces many economic problems.

Reason for economic Problem -

1. Human wants are endless
2. Selection of sourcess.
3. Alternative use of resources.
4. Choice and scarcity. of resources.
5.

Main Economic Problems -

(1) Scarcity of resources.
(2) Choices of resources.

(1) Scaricity of resources.

Scaricity of resources is a fundamental concept in economics that referre to the limited availability of resources relatice to unlimited wants & needs of individuals & societies. Because resources such as land, labour, capital & raw materials are finite, choices must be made about how they are allocated. This leads to the need for trade-offs & prioritization, as producing more of one good or service often means producing less of another. Scarcity forces individuals, businesses & government to make decisions on how best to use resources efficiently, giving rise to key economic questions like what to produce, how to produce & for whom to produce. It underpins the entire study of eco. driving the development of systems & models to manage limited resources.

(2) Choices of resources:-

In economics, the choices of resources refers to the decisions made about how to allocate limited resources to satisfy unlimited human wants. Since resources such as land, labor, & capital are scarce individuals, businesses & governments must make choices how to use the most effectively. These decision involve ~~availabilit~~ factors like availability, efficiency, cost & expected benefits. Economists emphasize opportunity cost, meaning choosing one use of a resource involves sacrificing its next best alternative. Thus, rational allocation of resource ensures maximum satisfaction & efficient production, contributing to economic growth & walfare.

Assignment

Q Explain circular flow of economic activity.

National Income (NI) :-

National Income is very important concept of economics. NI is a part of macro economics. NI is that part of objective income, of the community including income desired from abroad and from another sources. which can be measured in the terms of money. In simple words we can say that national income is a circular flow of income among various sector of the economy. And whatevery value has been added sector the some of total is called, National Income (NI).

National Income is a final monitary value that we recieve from goods & services within the ~~once~~ one financial year. There are another concept we include in national income.

(1) It is the monitary value of goods & services

(2) The goods include both g services & finale produc value.

(3) Final goods that means we do not include row material value.

(4) It is based on some certain period that is one financial year.

(5) It is based on flow of economic concept.

There are two levels in the national income.

level 1.

(i) Household → Iconomic resources (labour, land, capital)

(ii) → ~~Bu Viseus~~ to Business firm.

(b) Household – wages, salary, rent, interest, profit.

→ Business firm

(ii) Level (2) →

(a) Business firm → consumer goods & services Household.

(b) Business firm → Expendisure on goods & services.

→ Household.

* Measurement of National Income :-

There is 3 important methods of measurement of national income-

Methods

- Productive method
  - Primary Sector
    - mining Sector
    - Agricutare
    - Forestry
    - Fishing
  - Secondary Sector
    - Gas supply
    - water supply
    - Manufactur-ing.
  - Tertiary ~~sector~~
    - Telecommunication
    - ~~Methods~~
    - Transportation
    - Banking & Insurance
    - Real state.
- Income method
  - Salary (Compustation)
  - Operating Surplus (from property)
  - Mixed Encomomy
    - Self employee
    - Artist
    - lawyer
    - Musician.
- Expenditure method
  - Private final Expenses.
  - Govt. final expenses
  - Capital
  - Changes in Stock
  - Import & Export.

* operating surplus

- from property
- Incom from interprenuship.

* Problems in National Income:-

(1) Problem in double accounting.
(2) Conceptual difficulties.
(3) Problem of data
(4) Problem of changes in price level.
(5) Problem in public service.
(6) Problem in productive & un-productive activity.
(7)

Assignment

Q Explain various concept of economics.
(i) Grows domestic product (GDP)
(ii) Net domestic product (NDP)
(iii) Grows National product (GNP)
(iv) Net National product (NNP)
(v) Personal income (PI)
(vi) Private Income.
(vii) DPI (Disporsable Personal Income)
(viii) PCI (Per cepita income)

Unit - 1

Q 1. What are the basic differences between deductive & inductive method of analysis?

Ans Difference between deductive & Inductive analysis -

	Deductive	Inductive
(i)	Top-down approach: moves from general to specific	Bottom-up approach: moves from specific to general.
(ii)	Based on logic, reasoning & economic theories	Based on observations, facts, & statistical data.
(iii)	Relies on assumptions & abstract principles.	Relies on experiments, surveys & real-world studies.
(iv)	Used to apply law like law of Demand to predict consumer behavior	Used to formulate laws by studying data, e.g consumption patterns.
(v)	Conclusions are certain if premises are correct	Conclusions are probable, not absolute.

Q2 Write a short not on static & dynamic Economic analysis

Ans Static Analysis -

Static economics studies economic problems at a given point of time. It assumes all other factors remain constant & ignore time

time elements. The analysis is comparitive in nature, focusing on equilibrium between demand & supply under fixed conditions. It explains how resources are allocated & how prices are determined without ~~consider~~ considering future changes. For example, determining the price of a commodity when demand equals supply is a static analysis. It simplifies complex realities, but its main limitation is that it does not account for changes in technology, income, or preference over time.

Dynamic Economic Analysis-

Dynamic economic deals with economic problem across different points of time. It considers time lags, changes and interdependence between variables such as income, output, consumption and investiment. This method explains growth fluctuations, and long-run development. For example, studying how an increase in investment today effects income & consumption in future periods in dynamic analysis. It is more realistic as it reflects continuous economic changes. However, it is complex due to the involvement of multiple variables and time dimensions.

Q3 Explain circular flow of economic activity?

Ans The circular flow of economic activity is a model that shows how money, goods, and services move in an production, & income

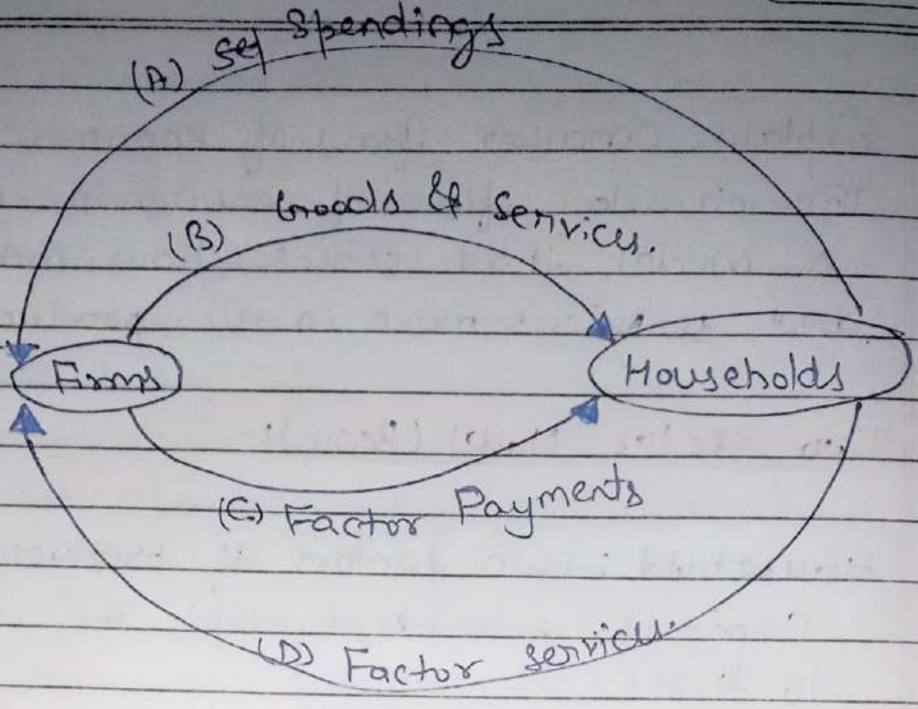
(1) Two-sector Model (Basic):-

- Household: own factors of production (land, labour, capital, enterpreneurship). They supply these to firms.
- Firms: Use these factors to goods & services, which household purchase.
- Household recieve factor payments (wages, rent, interest, profit) from firms, while firms earn revanue from selling goods.

Thus, money flows one way (payments) & good/services flow the other way, forming a circular movement.

(2) Extendend Models:-

- Government sector: collect taxes, provides public serivces.
- Foreign sector: Trade (exports & imports) adds international flow.
- Financial sector: savings & investments circulate money through banks.



Q4 Explain various concept of economics-
(1) GDP (Gross domestic Product)
(2) NDP (Net Domestic Product)
(3) GNP (Gross National Product)
(4) NNP (Net National Product)
(5) PI (Personal income)
(6) Private income
(7) DPI (Disposable Personal Income)
(8) PCI (Per Capita Income)

Ans

(1) GDP (Gross domestic Product :-
GDP is the total monetary value of all final goods & services produced within a country's ~~broders~~ borders. during a given time, usually one year. It reflects the overall economic performance & size of an economy, measuring domestic production

without considering depreciation or factor income from abroad.

(2) Net Domestic Product (NDP):-
NDP is GDP minus depreciation (wear & tear of capital goods). It ~~indicate~~ indicates the net output available in an economy after accounting for capital consumption. NDP gives a clearer picture of the actual production sustainability by showing how much of GDP is usable without replacing depreciated assets.

$$\boxed{NDP = GDP - Depreciation}$$

(3) Gross National Product (GNP):-
GNP is the total values of goods & services produced by a nation's residents, regardless of location, in a specific period. It equals GDP plus net Factor income from Abroad (NFIA). Thus, it considers incomes incomes earned by citizens both inside & outside the country's boundaries.

$$\boxed{GNP = GDP + \text{Net factor Income from Abroad}}$$

(4) Net National Product (NNP):-
NNP is GNP minus depreciation. It reflects the net production of goods & services by a country's residents after adjusting for capital wear & tear. NNP is often called National Income at factor cost, as it indicates the true income available for distribution among the nation's people.

$$\boxed{NNP = GNP - Depreciation}$$

(5) Personal Income (PI) :-

PI is the total income actually by individuals & households, including wages, Salaries, rents, interest, dividends & transfer payment like pensions or subsidies. It excludes retained corporate profits and business taxes. P.I measures the flow of income into the hands of people before deducting personal taxes.

(6) Private Income :-

Private Income is the total income earned by private individuals & enterprises within a country. It includes factor incomes, transfer payments & net factor ~~forces~~ income from abroad but excludes income recieved by the govt. It shows the earnings of the private sector of the economy only.

(7) Disposable Personal Income (DPI) :-

DPI is the income left with individuals after paying direct taxes such as income tax. It equals personal income minus Direct taxes.

$$\boxed{DPI = PI - \text{Direct tax}}$$

This ~~actual~~ represents actual amount available to household for spending on goods & services or saving, making it a key measure of consumer purchasing power.

8. Per Capita Income (PCI) :-

PCI is the average income per person in a country. It is calculated by dividing national income by the total population. PCI indicates the general standard of living & economics well-being of citizens, although it may not fully reflect income distribution or inequality within a society.

$$\boxed{PCI = \text{National Income} \div \text{Total population}}$$